

Tempus AI, Inc.
TEM NASDAQ

Buy	\$47.71 ▲ 3.31%	12M Price Target \$65.00	52-Week Range \$41.73 – \$104.32	Market Cap \$8.57B
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TEM: BMS Partnership Deepens, ArteraAI Launch Validates Platform

WHAT'S CHANGED

- TEM +3.31% to \$47.71 on light volume (1.79M vs 4M+ recent avg), capping a 4-day +4.8% advance off the \$45.53 base; stock now sits at 10% of 52-wk range, suggesting basing rather than breakout.
- Two material catalysts in 72 hours: (1) ArteraAI Prostate Test launch — first externally-developed digital pathology algorithm on TEM's platform, validating third-party content strategy; (2) expanded BMS strategic partnership deepens pharma-AI drug development revenue stream.

IMPLICATIONS

No implications to report.

VALUATION

See key data table.

KEY RISKS

- Persistent cash burn (~\$200M+ annually) raises dilution risk if capital markets tighten.
- Reimbursement headwinds on oncology testing (Medicare LCD revisions) could compress Genomics gross margin.
- Concentration risk: top-5 pharma partners likely >40% of Data & Services revenue; BMS, AstraZeneca renewals are make-or-break.

RECENT NEWS

Tempus AI (TEM) Launches ArteraAI Prostate Test, The First Externally Developed Digital Pa... Insider Monkey · 2026-05-24 13:06

Tempus AI, Inc. (TEM) and Bristol Myers Announce a Strategic Partnership Insider Monkey · 2026-05-23 04:49

Assessing Tempus AI (TEM) Valuation After Recent Share Price Weakness Simply Wall St. · 2026-05-19 00:21

Tempus AI And BMS Deepen AI Drug Development Ties As Losses Persist Simply Wall St. · 2026-05-18 18:12

7 Healthcare AI Stocks Under \$50 With Huge Upside Potential 24/7 Wall St. · 2026-05-18 11:35

Key Data

Price (USD)	\$47.71
12M Price Target	\$65.00
Upside / (Downside)	+36.2%
Market Cap	\$8.57B
FY2026E Revenue	\$1,320M
FY2027E Revenue	\$1,680M
FY2026E EPS	(\$1.45)
FY2027E EPS	(\$0.85)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$55.00	\$49.00	\$42.00
6 Months	\$72.00	\$58.00	\$38.00
1 Year	\$90.00	\$65.00	\$32.00
2 Years	\$120.00	\$80.00	\$28.00
5 Years	\$200.00	\$120.00	\$20.00
10 Years	\$400.00	\$200.00	\$15.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology (+3.02%/+6.59%), Industrials (+1.67%)

COLD SECTORS: Consumer Discretionary (-0.12%), Real Estate (+0.37%)

ROTATION WATCH: Tech leadership re-asserting on AI capex narrative; healthcare-AI hybrids like TEM should benefit from spillover as generalist funds seek non-mega-cap AI exposure with secular tailwinds.

BYPRODUCT PLAY: Imviva's CTA313 lupus data (5/14) underscores rising pharma demand for AI-curated trial cohorts — directly accretive to TEM's clinical trial matching and real-world data services.

OUTPERFORMERS & PEER CONTEXT

- RXRX (Recursion Pharmaceuticals): AI-drug discovery peer outpacing on pharma deal flow; trades at premium EV/Revenue vs TEM despite smaller revenue base.
- VEEV (Veeva Systems): Healthcare data/cloud platform compounding at 20%+ with GAAP profitability — the maturity model TEM aspires to.

TEM CONTEXT: TEM is basing at 10% of 52-wk range while Tech sector ETF is +6.59% over 5 days — clear relative underperformance vs sector, but the 4-day recovery off \$45.53 with positive catalysts suggests sentiment inflection. Pulling away from clinical-stage AI peers, lagging profitable health-tech platforms.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$45-50 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Revenue miss >10% or loss of key health system partnership

Hedging: Short comparable-stage AI name at richer multiple